MBSC EMBA · ECN 511 ECONOMICS FOR MANAGERS

Building King Salman Stadium: how much of the money stays in Saudi Arabia?

Construction and Infrastructure · **Topic B:** the multiplier effect of public capital spending, and where the money leaks

GROUP 8

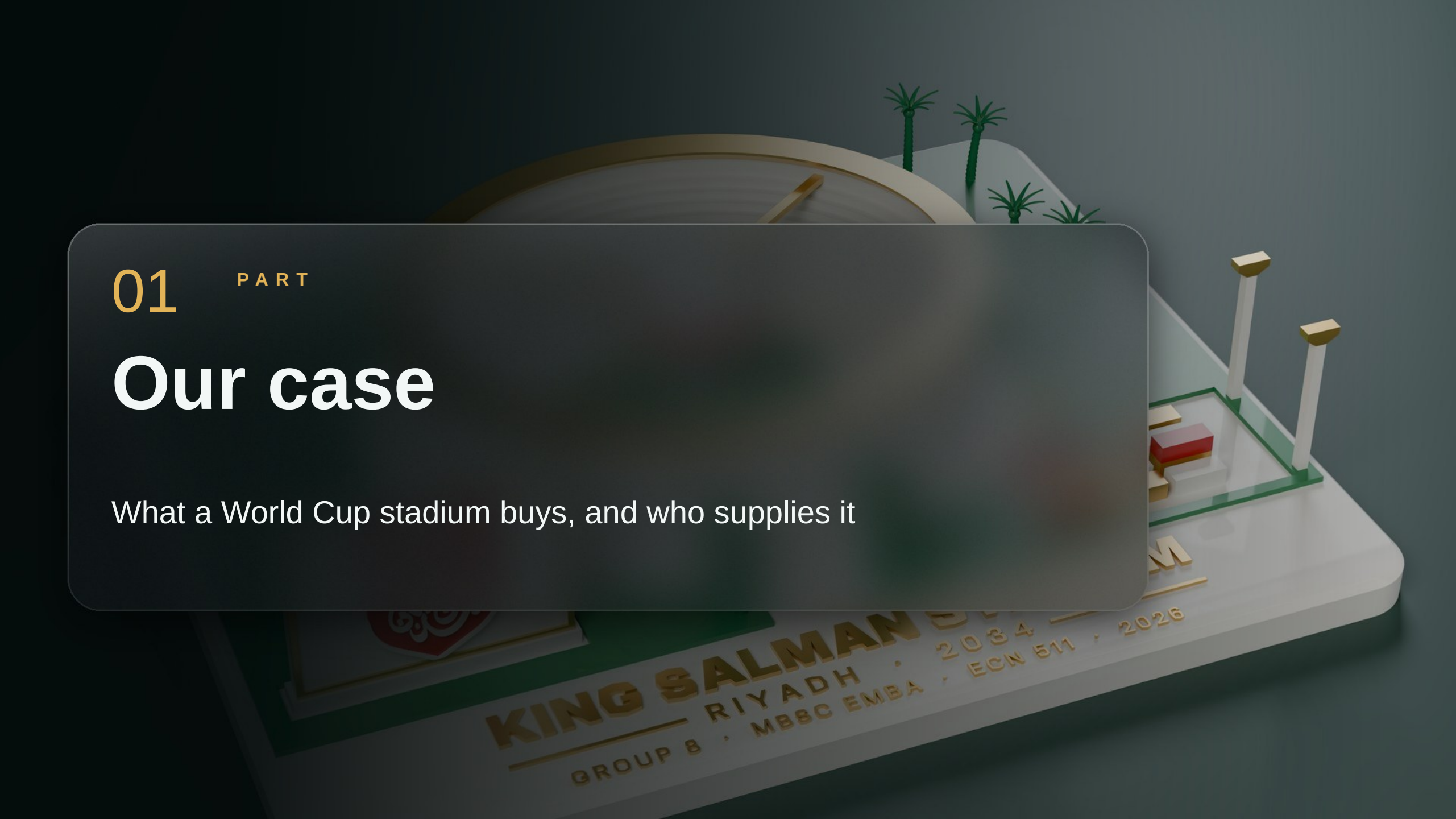
Abdulmajeed Alajlan · Abdulrahman Aldahlawi · Salman Alfaris · Mohammed Alghamdi · Abdulaziz Alweheab · Nada Alyahya · Haifa Binnafisah

Cover image: King Salman Stadium concept rendering © Populous

01 PART

Our case

What a World Cup stadium buys, and who supplies it



AA Abdulmajeed Alajlan 40s 01 / 12

Our case: the 2034 World Cup stadium programme

A stadium buys civil works, materials, building systems and specialist expertise.

- → Ministry of Sport buys the works.
- → Populous designs the stadium.
- → Contractors and specialist suppliers deliver.

15
stadiums in 5 host cities

7.8%
of Saudi value added, 2023 sector scale

SAR 646bn
gross output, 2023

King Salman Stadium concept rendering © Populous

Sources: FIFA 2034 bid evaluation; GASTAT Supply and Use Tables 2023; Ministry of Sport; Populous [R01, R05, R02–R03, R53].

AA Abdulmajeed Alajlan

A World Cup stadium is a construction job inside a sector worth 7.8% of the Saudi economy

7.8%
of Saudi value added comes from construction (SAR 338bn of SAR 4,333bn, 2023)

SAR 646bn
construction output in 2023, of which SAR 307.5bn is bought-in inputs

15
stadiums across 5 host cities in FIFA's 2024 bid evaluation

92,760
planned seats at King Salman Stadium, Riyadh — our case

STADIUM	SEATS	WHO BUYS	WHO SUPPLIES	PUBLISHED VALUE
Prince Mohammed bin Salman Stadium, Qiddiya	45,000	Qiddiya Investment Co.	FCC (Spain) – Nesma (KSA); Elegancia: mechanical SAR 829m; IKK Fangda: facade SAR 997m ex-VAT	about SAR 4.0bn
Aramco Stadium, Al Khobar	46,096	Saudi Aramco	Besix (Belgium) – Albawani (KSA)	about SAR 3.7bn
King Salman Stadium, Riyadh — our case	92,760	Ministry of Sport	Main works prequalification notice (Nov 2025); design by Populous	Not published

International–Saudi joint ventures deliver the main works; **specialist imported systems arrive through subcontracts.**

Sources: R05 (sheet 6.3), R01, R02–R03, R57, R58, R23–R24. Calculation: construction gross value added 338.3bn ÷ total GVA 4,332.9bn = 7.81% (GASTAT 2023, sheet 6.3).

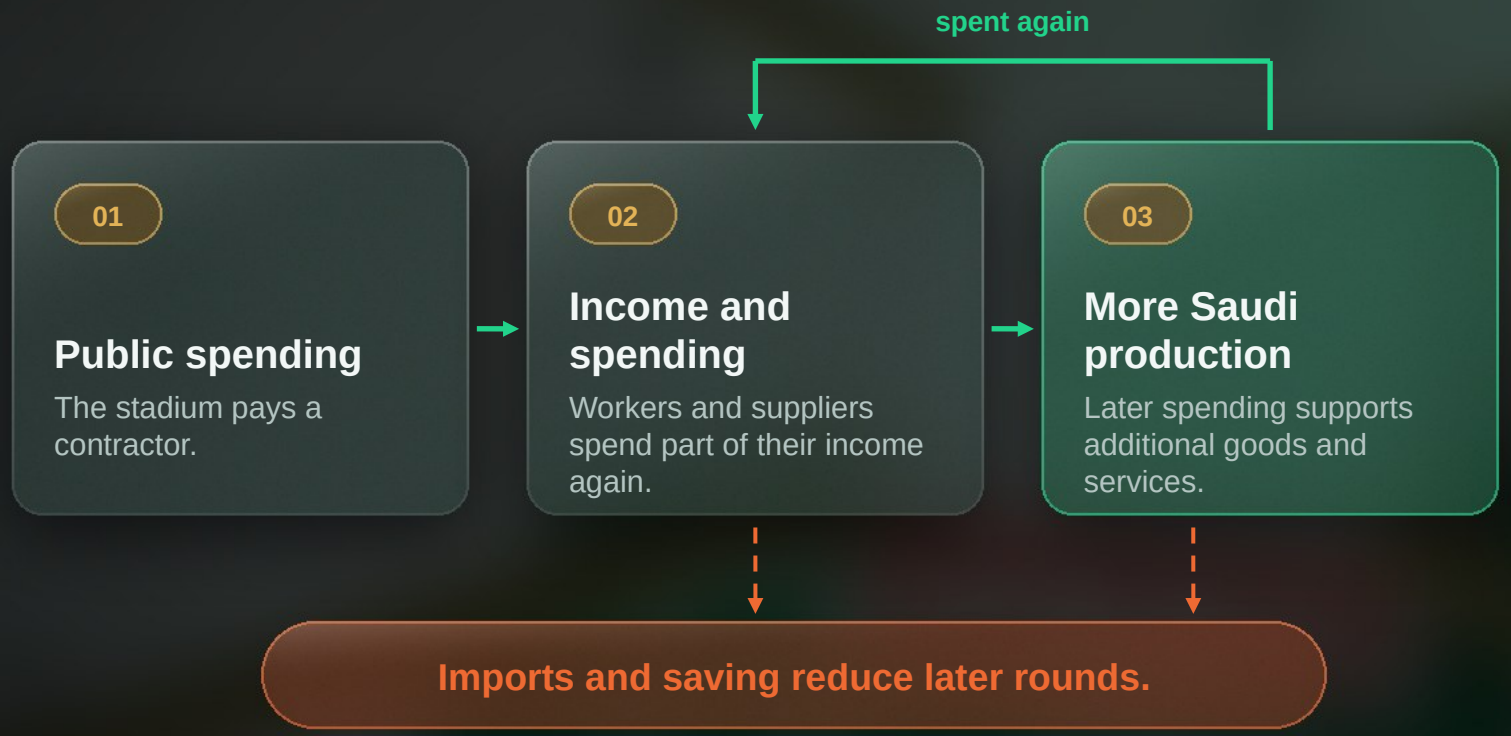
02 PART

Multiplier and leakage

Follow the riyal: where it is spent, and where it leaks

AA Abdulmajeed Alajlan 45s 02 / 12

One public payment creates income that people spend again



GDP multiplier = extra GDP caused ÷ extra public spending

Illustration: SAR 100m extra spending causes SAR 120m extra GDP. **Multiplier = 1.2.**

MICRO	A firm chooses a supplier.
MACRO	The combined effect on GDP.
OUR TOPIC	The spending multiplier is macroeconomics.

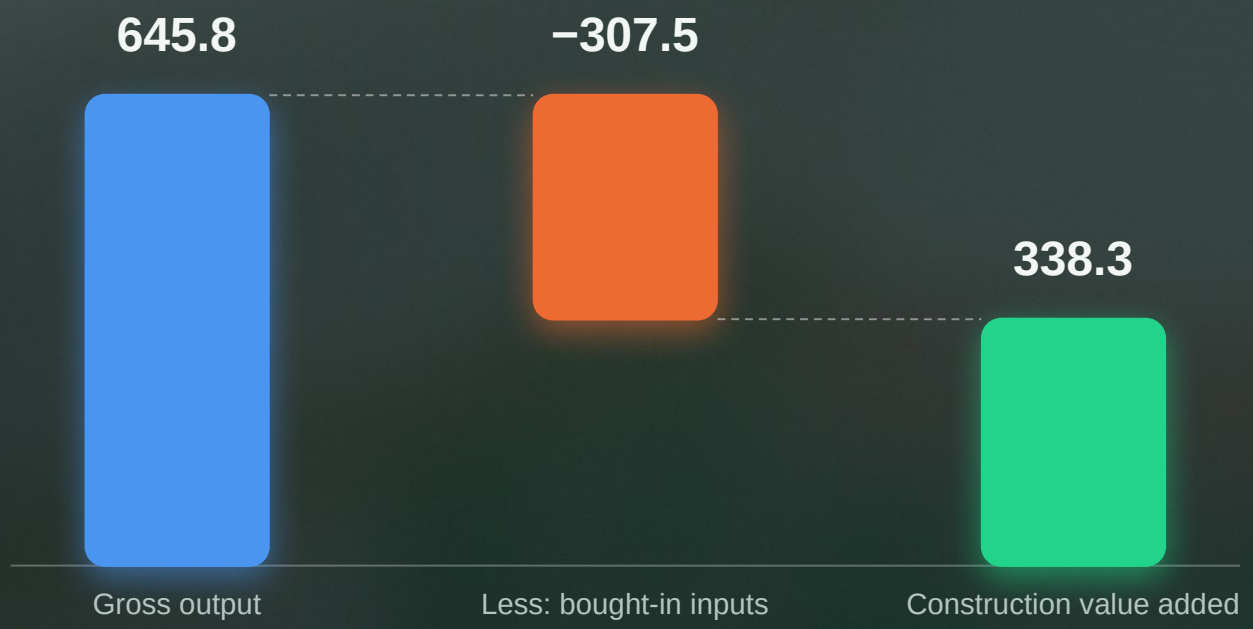
Source: IMF, Fiscal Multipliers, 2014, section II [R69]. Teaching example, not a Saudi estimate.

SA Salman Alfaris 40s 03 / 12

Our sector creates assets and adds value through Saudi production

GASTAT 2023 [R05]

Saudi construction, 2023 — SAR billion



7.8%

of Saudi gross value added

GDP counts the extra value created at each Saudi stage **once**. A local supplier's full invoice also includes inputs bought from other firms.

Academy link: qualified local suppliers can win orders and create extra Saudi value.

Source: GASTAT, Supply and Use Tables 2023, sheets 6.2–6.3 [R05]. Sector share describes scale, not a GDP multiplier.

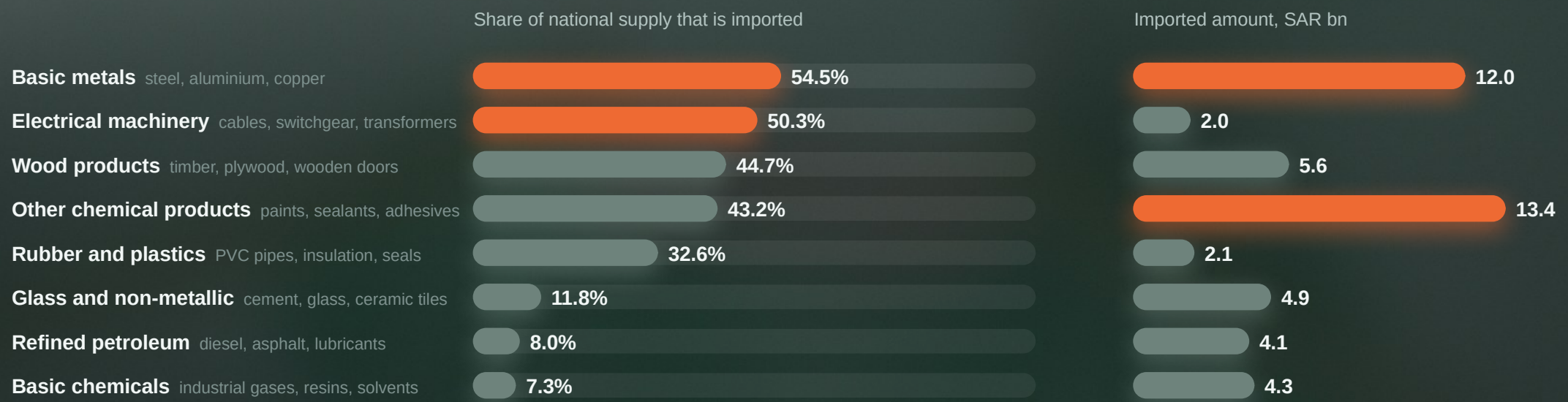
SA Salman Alfaris 40s

Construction’s two most imported inputs: basic metals (54.5%) and electrical machinery (50.3%)

SAR 646bn construction output in 2023, of which SAR 307.5bn is bought-in inputs

Imported 19.7% · SAR 60.5bn | Made in Saudi Arabia 80.3% · SAR 247.0bn

IMPORT LEAKAGE BY INPUT — AS A SHARE AND AS AN AMOUNT (CONSTRUCTION, 2023)



Metals and electrical machinery are half imported; **by amount, chemical products and metals are the largest leaks.**

Source: GASTAT, Supply and Use Tables 2023 [R05] — use: sheet 6.2 col. H; import rate: sheet 6.1 Total imports (AA) ÷ Supply at basic prices (AB). National ratios applied to construction purchases.

Applying a SAR 4.5bn stadium scenario

about SAR 4.0bn

Qiddiya stadium · 45,000 seats

about SAR 3.7bn

Aramco Stadium · 46,096 seats

SAR 4.5bn

Group scenario, not a published budget or a validated cost estimate

ROUND 1

Estimated purchases using GASTAT 2023 construction ratios

SAR 2,143m total purchases = 47.6% of the SAR 4.5bn

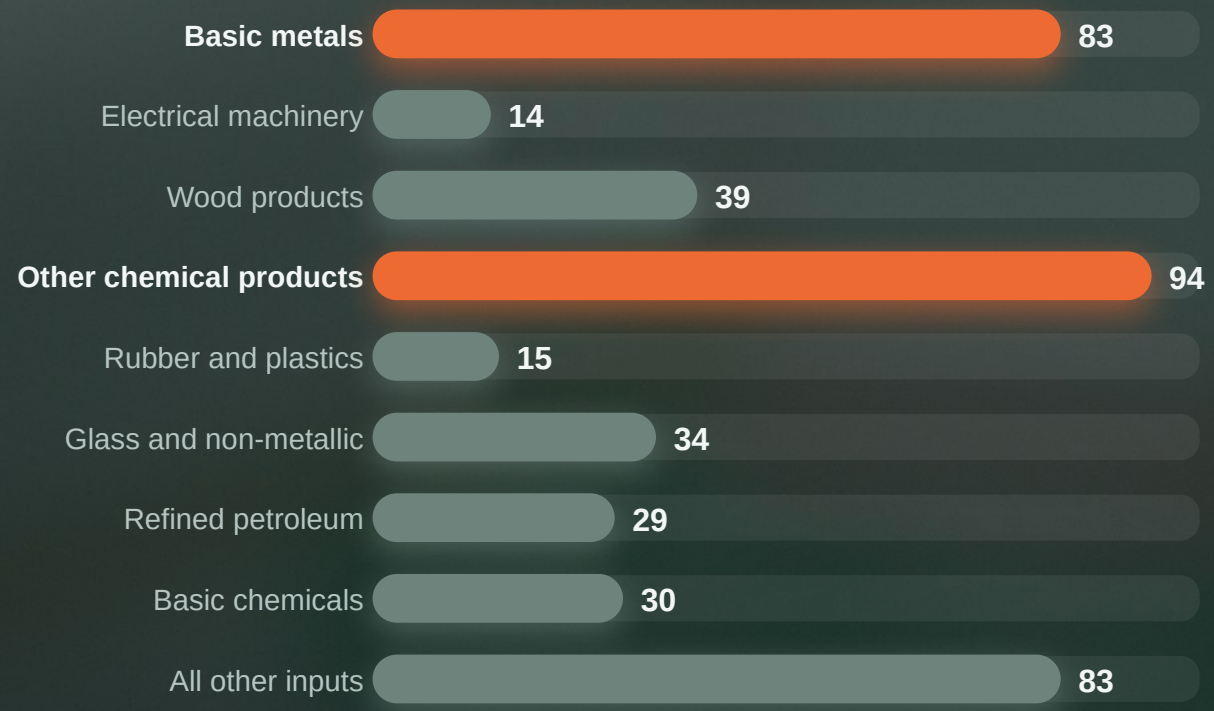
SAR 1,721m Purchases inside Saudi Arabia (80.3%) → next spending round

SAR 421m Purchases from abroad (19.7%) — the first leak

Sources: R57, R58 (benchmarks); GASTAT Supply and Use Tables 2023, sheets 6.1–6.2 [R05]. Group scenario using national ratios; figures are rounded.

Estimated imports in the SAR 4.5bn stadium scenario

ESTIMATED STADIUM IMPORTS, SAR MILLION



STADIUM IMPORTS

SAR 421m

19.7% of the SAR 2,143m estimated purchases split by input

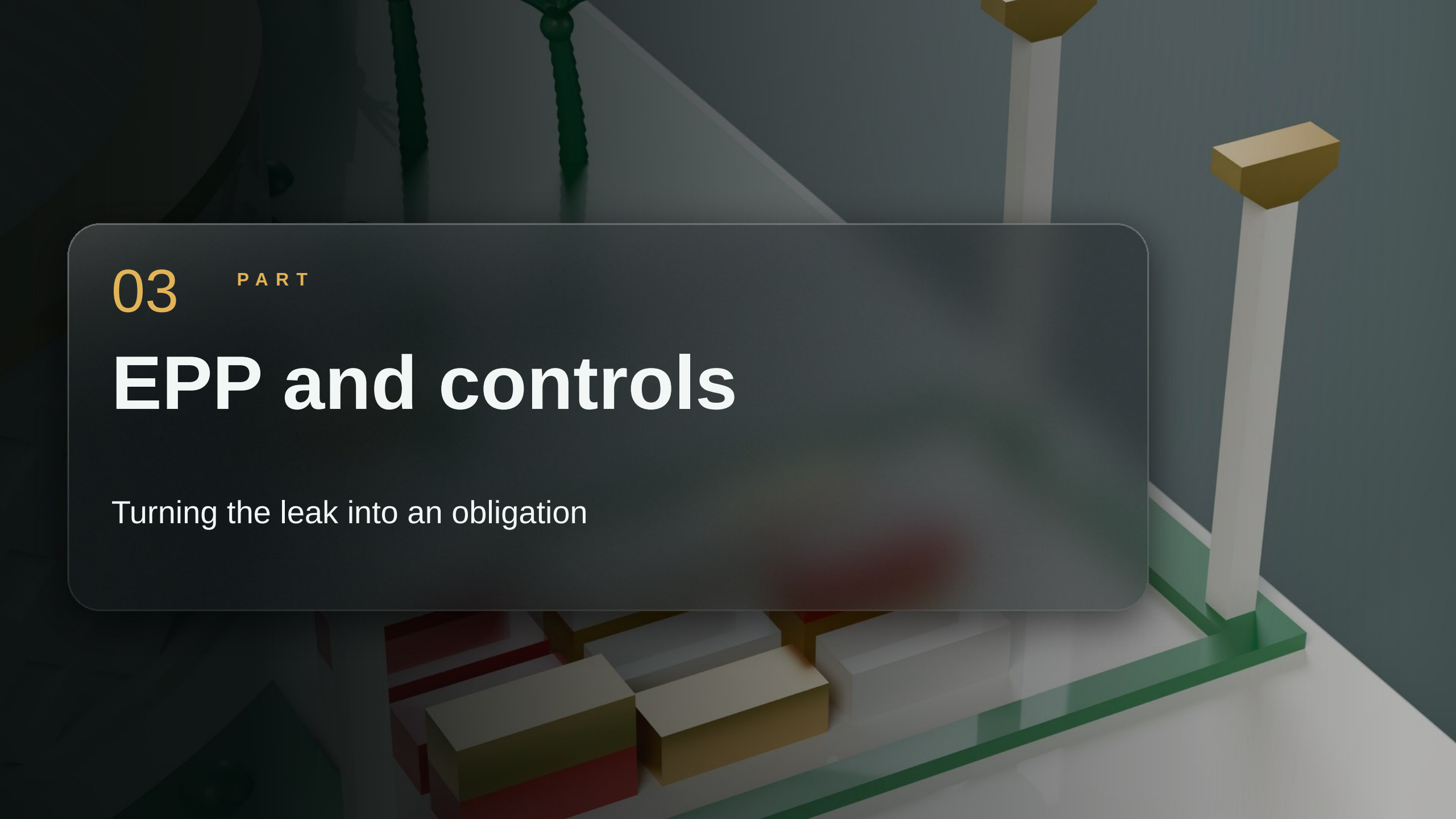
SAR 177m

Chemicals + metals · 42% of stadium's imports

ACTUAL ITEM CHECK

Grade, quantity, origin, certification and price from supplier schedules.

Examples under each group are illustrative. Each bar retains its whole GASTAT group value. Source: GASTAT, Supply and Use Tables 2023, sheets 6.1–6.2 [R05]. National product ratios applied to construction use; group scenario, not invoices.



03 PART

EPP and controls

Turning the leak into an obligation

MA Mohammed Alghamdi 50s 06 / 12

Assessment basis: the official April 2026 consultation framework

SAR 421m
Estimated stadium imports · SAR 4.5bn scenario, slide 5

×

20%
Second import tier · SAR 300m–500m per tender

=

SAR 84m
Required EP credit · 421m × 20%

IMPORT TIERS (PER TENDER) AND THE EP OBLIGATION

DRAFT CATEGORY FACTORS

Knowledge transfer / localisation **1–3**
Technology transfer / exports **2–4**

4 + 2 = 6
Qualifying base + approved bonus. Rare technology or other eligible grounds.

Assumption: one main contract with one company, so all SAR 421m counts.

Credit differs from cash, GDP and ROI.

Source: LCGPA, Economic Participation Policy Update, consultation text, Articles 6–9 [R63]; DGA Group, April 2026. Imports: group scenario [R05]. Actual tender terms control the applicable version.

AD Abdulrahman Aldahlawi 30s 07 / 12

A fixed event deadline made live-site learning especially valuable

3,000+

training places

408

apprentices

✓ WHAT WORKED

Training connected to **real construction jobs**.

▲ WHAT WAS WEAKER

Encouragement **without binding targets** made skills objectives harder.

Saudi adaptation: paid practice, independent tests and a return-to-train commitment

Sources: UK DCMS, 2012 Games construction on track, 20 May 2012 [R12]; Crossrail Learning Legacy, 2018 [R13]. Counts do not prove retained jobs.

AD Abdulrahman Aldahlawi 40s 08 / 12

Five risks, five controls

	RISK		PROPOSED CONTROL
1	**Routine training earns extra credit**	→	Record existing duties. Fund new competence, rights or tooling.
2	**IP cannot be used independently**	→	Agree licences, diagnostic access, trainer rights and export territory.
3	**Shared delivery duplicates claims**	→	Keep each supplier’s approved activities, cost allocation and ledger separate.
4	**Local substitutes or bulk buying fail**	→	Test grades, capacity and full cost. Use fair lots and multiple suppliers.
5	**Skills have no work after handover**	→	Confirm placements before training and contract the next site.

EVIDENCE AT THREE POINTS

- **Before** — baseline and rights
- **Completion** — independent tests
- **6 / 12 months** — work and trainer return

Sources: LCGPA consultation Arts. 8(3), 13–16 [R63]; WIPO licensing [R64]; OECD competition safeguards [R68]; UK additionality study [R54].

04 PART

The academy proposal

Turning the obligation into Saudi capability

Shared delivery across eligible stadium suppliers, with separate EP obligations

Shared EPP proposal: eligible stadium vendors jointly fund ONE academy. Each vendor contributes approved funding, trainers, equipment or licensed know-how.

01 License and train

- Licensed manuals and software
- HVAC rigs and coating-test kits
- Paid practice and Saudi trainers

Evidence: NITI training; WIPO licensing terms

02 Qualify Saudi materials

- Coatings, sealants and metals
- Test specific grades and origin
- Material passports for approvals

Evidence: ALUPCO extrusion; Sika Saudi admixture production

03 Buy together

- Common performance specifications
- Competitive framework and call-offs
- Verify discounts and full cost

Evidence: OECD purchasing efficiency and competition

One qualified host runs the programme. Sharing trainers, equipment and demand reduces duplicated training and keeps skills available across sites.

LCGPA approves vendor roles and cost allocations. **Each vendor keeps its own EP obligation and ledger. Each activity earns credit once.**

Later: export Saudi-owned courses, licensed services and qualified products.

Sources: NITI [R42]; official LCGPA draft Arts. 8–9 [R63]; WIPO [R64]; OECD [R65, R68]; ALUPCO [R66]; Sika [R67]. Candidate capabilities, not partner commitments.

Begin inside real projects with an existing qualified training provider

Joint agreement first: vendor commitments, LCGPA-approved activities and separate credit records.

1 Confirm demand

Employers identify the skills gap and sign paid site placements. Vendor roles and funding are agreed.

CONDITION TO PROCEED
Next-site work, budget, IP rights, tools and approvals are confirmed. Signed licences and EP cost allocations.

→

2 Run the pilot

Supplier mentors teach on real equipment. Independent tests and trainer practice. Saudi trainers teach the next cohort.

CONDITION TO PROCEED
Verify practical competence, paid deployment and unit cost. Record extra capability beyond routine duties.

→

3 Expand if proven

Repeat cohorts build an academy. A permanent facility needs its own case. Use existing facilities where adequate.

CONDITION TO PROCEED
Continuing jobs and orders, proven results and acceptable quality and cost. Track work and trainer return at 6/12 months.

No confirmed paid demand: defer intake. Weak results: redesign or stop.

Suggested start: **24 learners, 6 trainer candidates, 2 eligible sites.** Targets for agreement.

Basis: report Sections 5–8 and Appendix F. Sources: NITI [R42], training evaluation [R54], LCGPA draft [R63], WIPO [R64]. Proposed design.

What stays after the cranes leave

VALUE	DURING CONSTRUCTION	AFTER HANDOVER
Skills and academic capability	Paid practice, independent tests, manuals and trainer development	Next-site work, returning trainers and further recognised qualifications
Local products and IP	Approved local grades, tooling and usable technical rights	Repeat orders, deeper production and independent Saudi services
Buyer value	Joint offers, less duplicated buying and comparable full-cost prices	Reusable specifications and resilient multi-supplier sourcing
Export value	Saudi-authored content and rights prepared for later markets	Paid courses, licensed services and qualified products sold abroad

ILLUSTRATIVE MATERIALS OPPORTUNITY **25% of the SAR 177m basket ≈ SAR 44m more domestic purchases**

Source: GASTAT-based group scenario [R05]. Benefits are proposals. No discount or export revenue is assumed. Domestic purchases, savings and credit are separate.

A shared Materials and Systems Academy pilot

Proposed joint programme for all participating eligible stadium vendors · one academy, agreed vendor contributions and individual compliance records.

LCGPA

Approve extra activities, rights, factors and separate supplier ledgers.

AUTHORISED BUYER

Approve competitive joint procurement and construction gates.

DELIVERY PARTNERS

Agree paid placements, material trials, trainer return and follow-up.

EP CREDIT PLAN

SAR 84m from about SAR 36m of activity (average factor 2.33; SAR 63m at low-end factors)

SAR 84m

EP credit = 36 + 24 + 24

Why these factors: LCGPA sets the final factor within each draft range. We start at the minimum and add 1 per condition met: usable licences (2→3), new skills with independent tests (1→2), approved Saudi materials with real orders (1→2). Not the maximum: no manufacturing rights, recognised qualification or new plant.

Proposed start: 24 learners, 6 trainer candidates, 2 confirmed eligible sites

Proposal targets for agreement, not forecasts or observed results. Scale on proven skills, demand, quality, cost and licensed rights. Policy basis: LCGPA [R63].

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Thank you

Questions welcome

AA **Abdulmajeed** Alajlan

AD **Abdulrahman** Aldahlawi

SA **Salman** Alfaris

MA **Mohammed** Alghamdi

AW **Abdulaziz** Alweheab

NA **Nada** Alyahya

HB **Haifa** Binnafisah

King Salman Stadium · Riyadh 2034

SOURCES 1 OF 4

Case, sector and stadium packages

R01 **FIFA World Cup 2034 Bid Evaluation Report, 2024, pp 46–51**
FIFA, 29 November 2024.

R17 **FIFA host appointment, 11 December 2024**
Extraordinary FIFA Congress appoints hosts of 2030 and 2034 editions.

R05 **GASTAT Supply and Use Tables 2023, sheets 6.1–6.2**
Supply and Use and Input-Output Tables by Sections 2023, released 2025; thousand SAR.

R02 **MoS King Salman main works notice, 25 November 2025**
Prequalification invitation; deadline 16 February 2026.

R03 **MoS King Salman preliminary works notice, 7 April 2026**
Prequalification invitation; deadline 28 April 2026.

R53 **Populous King Salman Stadium project and concept images**
Undated project page. Designer identity.

R23 **Estithmar mechanical package announcement, 10 September 2026**
Elegancia Arabia Trading awarded SAR 829m mechanical works, Prince Mohammed bin Salman Stadium.

R24 **China Fangda facade package filing, 19 October 2026**
Announcement 2026-41; SAR 1,146.9m incl. VAT / SAR 997.3m excl. VAT.

Evidence basis: report updated 21 October 2026. Course material: [C1] George, R. E., Assessment Guidelines for ECN 511, MBSC, 30 September 2026; [C2] MBSC, ECN 511 Course Syllabus Modular A1, 2026; [C3] George, R. E., EPP assessment update allowing supporting localisation evidence, email received 20 October 2026. No public URLs. References and backup material sit outside the eight-minute presentation.

SOURCES 2 OF 4

Policy, benchmark and training evidence

R09 **LCGPA Economic Participation Policy, Unit 7, historical training material**
PC-GEN-TM-ECP-EN-V12, pp. 4–5, 11–15, 21–22.

R11 **Umm Al-Qura EPP consultation notice, 14 April 2026**
Consultation notice; not an adoption notice.

R27 **DGA analysis of the EPP consultation draft, April 2026**
DGA Group / Albright Stonebridge Group, pp. 4–6.

R12 **UK government London 2012 construction release, 20 May 2012**
2012 Games construction on track thanks to 12,000-strong workforce.

R13 **Crossrail Learning Legacy, contractual skills targets, 2018**
Eldred and Blin, 17 August 2018, section 1.2.

R14 **EXPRO Operations Management Introduction Guideline, 2021**
EOM-ZO0-GL-000001, Rev. 001, sections 6.3–6.7.

R42 **NITI Apprenticeship Program, undated brochure**
Candidate training capability only.

R54 **UK BIS Measuring Additionality in Apprenticeships, 2013**
Research Paper 138, pp. 9–13.

R55 **Local content preference regulation, Resolution 245, 2019**
Articles 4, 11–16 and 18–22.

R56 **LCGPA mechanisms for government entities, Unit 2**
PC-GOV-TM-MCI-EN-V12.

R08 **IMF Saudi Arabia Article IV, 2024, Box 1**
Country Report 24/280, printed p. 10.

AI use: ChatGPT supported research, calculations, charts and drafting. Claude supported review. No original interviews or field data are claimed. Facts, teaching assumptions and proposals remain labelled. The submitting group remains responsible for source checks and final approval.

SOURCES 3 OF 4

Updated stadium comparisons

R57 **Argaam, Qiddiya stadium contract, October 2024**
Qiddiya awards SAR 4B stadium project contract to Saudi-Spanish consortium.

R58 **MEED, Saudi Arabia selects Dammam stadium contractor, 26 February 2024**
Besix–Albawani, est. SAR 3.7bn.

R59 **StadiumDB, Aramco Stadium design and capacity, undated**

R60 **StadiumDB, Qiddiya stadium design and capacity, undated**

R69 **IMF, Fiscal Multipliers, 2014, section II**
Batini, Eyraud, Forni and Weber, Technical Notes and Manuals 14/04. Definition and teaching example on slide 2.

Verification: GASTAT Supply and Use Tables 2023 downloaded 27 October 2026. The supplied ratios reproduce 60.507bn of modelled imported construction inputs by applying each national product import ratio to construction use — an estimate, not an observed industry import-use matrix. BESIX's official project page confirms the Aramco client and BESIX–ALBAWANI JV. Official capacities are approximately 47,000; the retained 46,096 is the FIFA bid design scope. Current public procurement notices do not establish an awarded King Salman main package.

SOURCES 4 OF 4

Policy and solution evidence

R63	**LCGPA, Economic Participation Policy Update, April 2026 consultation, Arts. 3–19** Official Arabic consultation text, read 28 October 2026. Consultation text, not an adoption notice.
R64	**WIPO, Technology Transfer Agreements, licensing rights and scope** Licensing, territory, field of use and ownership.
R65	**OECD, Government at a Glance 2025, section 11.5, centralised purchasing**
R66	**ALUPCO, Aluminium, Saudi extrusion, die-making and finishing capability** Capability evidence, not a commitment to this proposal.
R67	**Sika, New Saudi admixture factory, 27 June 2018, official release** Historic capability evidence, not proof of every coating grade or current capacity.
R68	**OECD, SMEs in Public Procurement, 2018, Box 2.4, competition safeguards**

The primary draft was read directly from the official Istitlaa consultation HTML on 28 October 2026. It is a consultation text, not an adoption notice. The supporting sources establish mechanisms and existing capabilities, not committed project partners or guaranteed performance.